

FRVO

FRVO N/A

Buy **\$39.97 ▲ 6.22%** 12M Price Target **\$52.00** 52-Week Range **\$34.27 – \$42.65** Market Cap **\$11.75B**

FRVO: Geothermal Momentum Builds Post-IPO; Reiterate Buy

WHAT'S CHANGED

- FRVO closed +6.22% at \$39.97 on 3.3M shares — recovering sharply from the \$35.57 intraday low on 6/1 (-8% off post-IPO highs) and reclaiming 68% of 52-week range
- WSJ (5/25) flagged geothermal as a "hot IPO" cohort lifting peers; options flow confirms bullish positioning with P/C of 0.21 and unusual \$55 July call buying (3.2x OI)

IMPLICATIONS

The rebound from \$35.57 to \$39.97 in two sessions signals dip-buyers defending the post-IPO base, with Energy ETF +3.02% over 5 days providing supportive sector tape. FRVO's narrative remains tightly coupled to AI datacenter power-demand spillover — Insider Monkey's 5/14 piece explicitly credited the IPO pop to AI exposure, and the company's Google PPA precedent positions it as the highest-beta listed name to hyperscaler 24/7 carbon-free power procurement. With only 18.3% institutional ownership and 22% insider hold, the float is thin and reflexive to news flow, amplifying both upside catalysts and drawdown risk.

VALUATION

At \$11.75B market cap on ~\$215M FY26E revenue, FRVO trades at ~55x forward sales — a premium to legacy IPP comps but consistent with early-stage clean-tech IPOs with AI-power optionality (compare to early SMR/fusion names). Our \$52 base PT implies ~30% upside, derived from 30x FY27E revenue discounted at 15%, anchored on Cape Station ramp and PPA pipeline conversion. Multiple compression risk is acute if 2027 commissioning slips; expansion driver is new hyperscaler contract announcements.

KEY RISKS

- Execution risk on Cape Station Phase II drilling/completion — geothermal capex overruns historically run 20-40%
- Single-customer concentration (Google) and binary PPA renewal/expansion outcomes
- Rate-sensitive long-duration cash flows; rising real yields compress terminal value

RECENT NEWS

- A Hot IPO Lifts Geothermal Power Companies** The Wall Street Journal · 2026-05-25 21:17
- Energy IPOs Are Back. The Winners Have One Thing In Common.** Barrons.com · 2026-05-18 09:55
- Assessing Fervo Energy's Valuation After Early Stage Losses And Recent Share Price Momentu...** Simply Wall St. · 2026-05-17 21:14

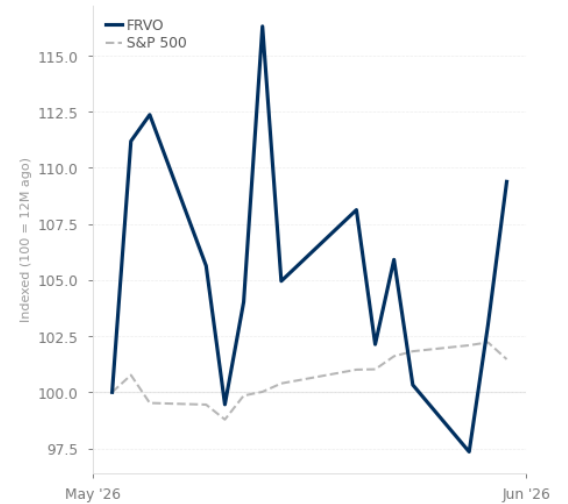
Key Data

Price (USD)	\$39.97
12M Price Target	\$52.00
Upside / (Downside)	+30.1%
Market Cap	\$11.75B
FY2026E Revenue	\$215M
FY2027E Revenue	\$480M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$45.00	\$41.00	\$35.00
6 Months	\$55.00	\$47.00	\$32.00
1 Year	\$68.00	\$52.00	\$28.00
2 Years	\$95.00	\$70.00	\$25.00
5 Years	\$180.00	\$110.00	\$20.00
10 Years	\$350.00	\$180.00	\$15.00

SECTOR INTELLIGENCE

HOT SECTORS: Energy, Healthcare

COLD SECTORS: Industrials, Real Estate

ROTATION WATCH: Energy leadership (+3.02% 5D) suggests rotation into power-generation and AI-infrastructure beneficiaries; expect continued bid for clean baseload names as hyperscaler 2030 carbon targets force PPA velocity.

BYPRODUCT PLAY: Drilling services, downhole tooling, and HVDC transmission names benefit from geothermal capex cycle; uranium/SMR names share the same hyperscaler thesis.

OUTPERFORMERS & PEER CONTEXT

- ORA (Ormat Technologies): Incumbent geothermal IPP rallying on read-across from FRVO IPO halo and AI power thesis
- VST (Vistra): Best-in-class IPP up materially YTD on datacenter PPA narrative, validates power-demand thesis

FRVO CONTEXT: FRVO is leading its narrow peer set as the pure-play next-gen geothermal proxy — at 68% of 52-week range it has held relative strength vs broader clean-tech, but underperforms more mature IPPs on cash flow visibility.

INVESTMENT STRATEGY

7/10 Conviction Score

CONVICTION: 7/10 — Bullish options flow, supportive sector tape, and unique AI-power exposure offset by pre-revenue execution risk and rich multiple.

POSITION SIZE: 2-3% — thin float and binary execution outcomes warrant sub-full position despite high conviction on theme.

ENTRY POINTS: Scale in \$36-38 on retracement to post-IPO base; add above \$43 on PPA announcement breakout

TIME HORIZON: 12-24 months — key catalyst is Cape Station Phase I commissioning and second hyperscaler PPA disclosure

THESIS INVALIDATION: Drilling delay disclosure, equity raise below \$35, or loss of Google offtake commitment

HEDGING: Long July \$35 puts against core; or pair short vs richer-multiple AI-power comp (e.g., SMR/fusion names)